DALAL & BROACHA
STOCK BROKING PVT. LTD.

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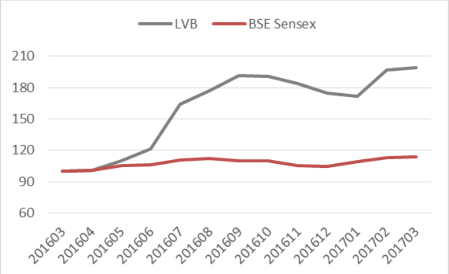
BUY	
Current Price	164
FY19E Target Price	210
Upside/Downside	28%
52 Week Range	78/169

Key Share Data	
Market Cap (Rs.bn)	31.5
No of o/s shares (mn)	192.5
Face Value	10
Monthly Avg. vol (BSE+NSE) Nos '000	380.4
BSE Code	534690
NSE Code	LAKSHVILAS
Bloomberg	LVB IN EQ

Price performance



% Shareholding	Dec-16	Sep-16
Promoters	9.6	9.6
Institutions	6.4	6.4
Non Institutions	84.0	84.0
Total	**100.0**	**100.0**

Summary: Lakshmi Vilas Bank has strengthened its Management bandwidth with key management persons joining the bank from relatively larger banks. With implementation of the best industry practices by these experienced persons we have witnessed initial signs of improvement in operating performance. We believe the bank is well-placed to transform itself from a traditional old generation bank into a new-age professionally-run bank with sustainable healthy ROEs. We expect the bank to resume to higher than industry growth by Q1FY18.

Changes in the approach to business

Over the years, common investor concern for old generation private bank has been the lack of consistency in growth, visibility and absence of aggression in approach to business. The new management team has addressed the same by making changes in the day-to-day operations of the bank in terms of bank's approach to business with focus on efficient resource allocation (capital and human resources) and profitability.

ROE Drivers: We expect the bank to sustain ROE of 14.6% by FY19 (Vs 10.8% in FY16) driven by:

a) NII Growth of 16% CAGR over FY17-19E, driven by Credit-Deposit ratio expansion to 76% from 71% currently coupled with better loan mix to higher yielding Retail and SME.

b) Improvement in CASA ratio from 17.4% in FY16 to 21% by FY19E, and lower cost of funds

c) We estimate provisions/avg assets to decline from 0.65% in FY16 to 0.53% in FY19E as asset growth exceeds industry growth.

Asset Quality – Factoring in the worst case scenario

Bank has reasonable GNPA and Net NPA ratio of 2.8% and 1.8%, respectively, with provision coverage ratio of 62%. The restructured loans of the bank stood at Rs 753cr (3.5% of the loan book), but 83% of the restructured book is already out of the moratorium. FY06-16-average slippage ratio stood at 2.8%, while we have assumed slippages ratio of 2.2% for FY18 and 2.0% for FY19. Recovery and upgrades ratio stood at 2.7% during this period, while we have assumed it at 2.1% for FY18 and 2.5% for FY19. Thus, we expect absolute Gross NPAs to decline in FY19.

Valuation & Outlook

We compare LVB with City Union Bank (CUB) and DCB Bank (DCB). CUB has ROE of 15.5% and trades at a P/ABV multiple of 2.0x on FY19E ABV. DCB has ROE of 11.1% and trades at P/ABV multiple of 2.0x on FY19E ABV. LVB trades 1.4x, at 30% discount to CUB and DCB. We believe with improvement in ROEs to 13.7% (FY17-19 Avg), we expect the valuation multiple to expand and move closer to 2.0x. Hence, we value Lakshmi Vilas Bank at 1.75x FY19E ABV of Rs 120 to arrive at target price of Rs 210. A possible M&A play proves an additional investment rationale. Recommend **BUY**.

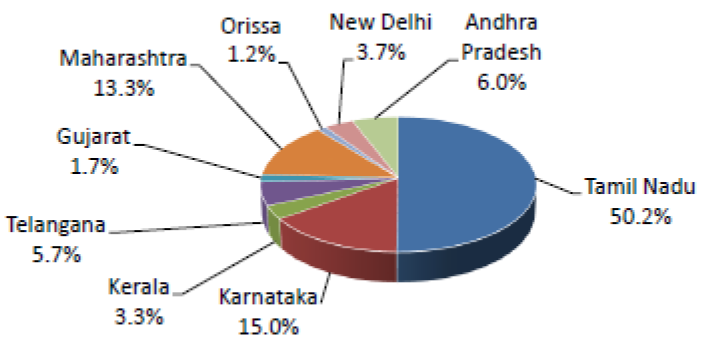
Key Financials (Rs Cr.)

Year	Op. Income	% growth	PAT	% growth	ABVPS	P/ ABVPS(x)	EPS	PE(x)	RoE%	RoA%
FY16	950	17.2	180	36.2	85.6	1.9	10.0	16.3	10.9	0.7
FY17 E	1,213	27.7	253	40.3	89.6	1.8	13.1	12.5	13.0	0.8
FY18 E	1,360	12.1	298	18.0	100.8	1.6	15.5	10.6	13.4	0.9
FY19 E	1,569	15.4	364	22.0	120.1	1.4	18.9	8.7	14.6	0.9

Background

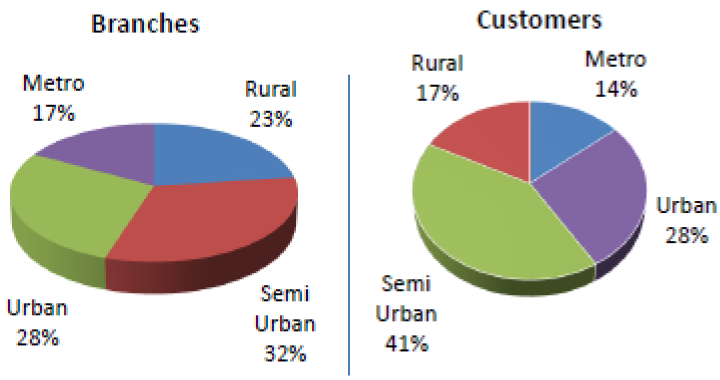
- Lakshmi Vilas Bank was founded in 1926 by a group of seven progressive businessmen of Karur under the leadership of Shri V.S.N. Ramalinga Chettiar. Their objective was to cater to the financial needs of the people in and around Karur who were occupied in trading businesses, industry and agriculture.
- The Bank has witnessed substantial improvement across all business parameters in the past eight quarters while entire banking sector has faced pressure.
- Bank's operations are spread over a network of 460 branches (plus 7 extension counters) and 910 ATMs.
- ~ 86% branches in Southern states of Tamilnadu, Andhra Pradesh, Telangana, Karnataka and Kerala. Deep penetration in Tamilnadu, one of the most progressive Indian states
- Over 2.8 mn customer accounts

Geographic Presence in India – Business Size [FY16]



Source: Company, Dalal & Broacha Research

Split of Branches & Customers [FY16]



Source: Company, Dalal & Broacha Research

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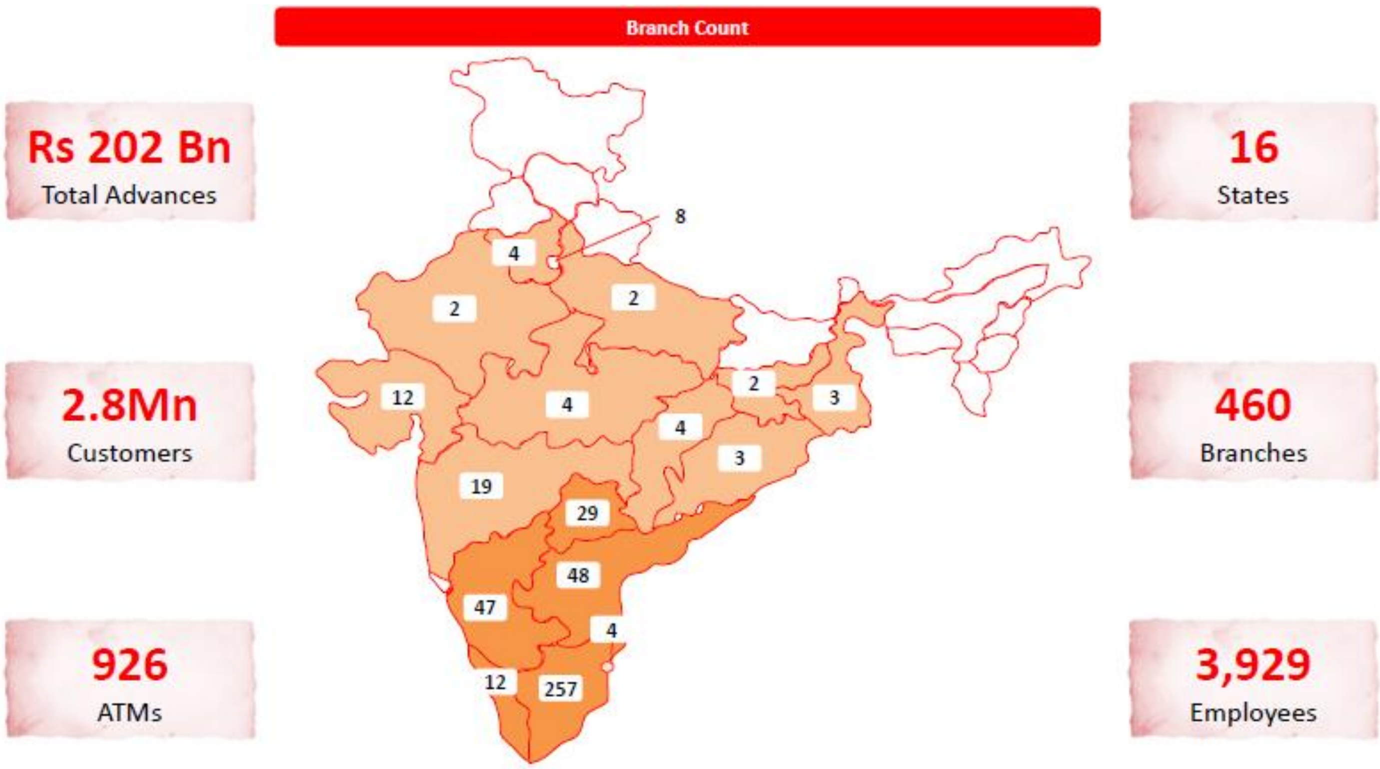
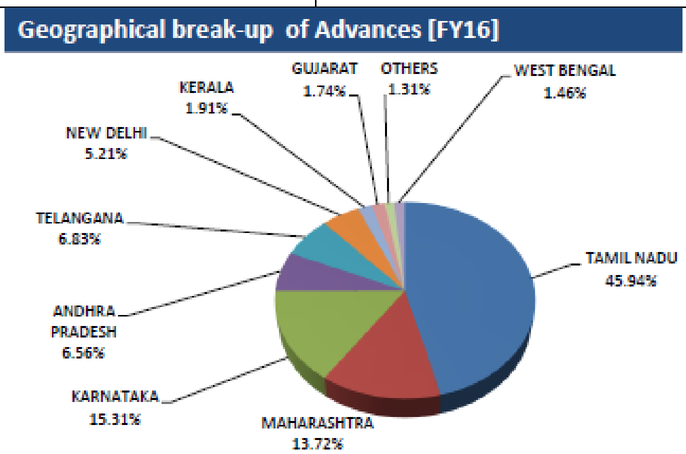


Source: Company, Dalal & Broacha Research

Particulars	% Loan Mix
Agriculture	15.5
Corporate	43
Retail	13.2
SME	28.3

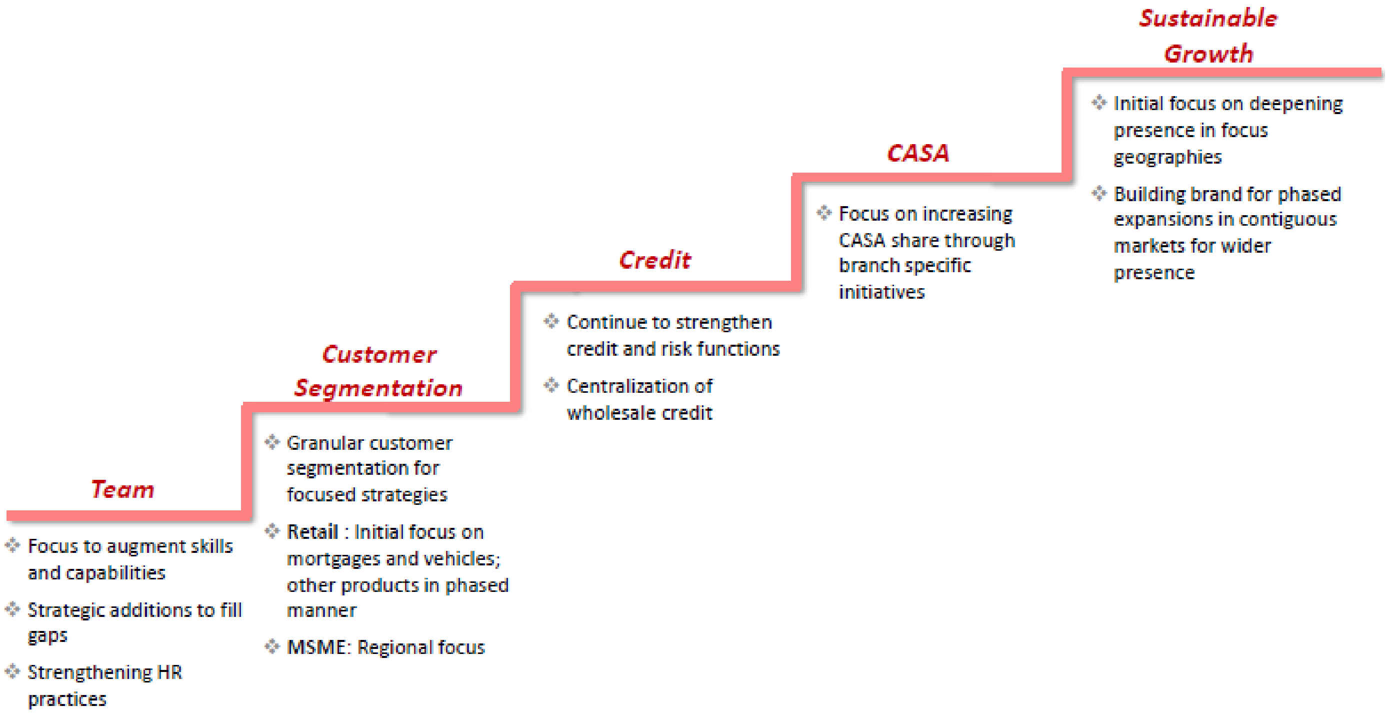


Source: Company, Dalal & Broacha Research

Investment Arguments:

Changes in the approach to business

Over the years, common investor concern for old generation private bank has been the lack of consistency in growth, visibility and absence of aggression in approach to business. The new management team has addressed the same by making changes in the day-to-day operations of the bank in terms of bank's approach to business with focus on efficient resource allocation (capital and human resources) and profitability. New team has well-defined process to achieve the sustainable growth over the long term, which we like about the bank. With implementation of the new strategy over FY17-19, bank is expected to transform itself from a traditional old generation bank into a new-age professionally-run bank with sustainable healthy ROEs.



Source: Company, Dalal & Broacha Research

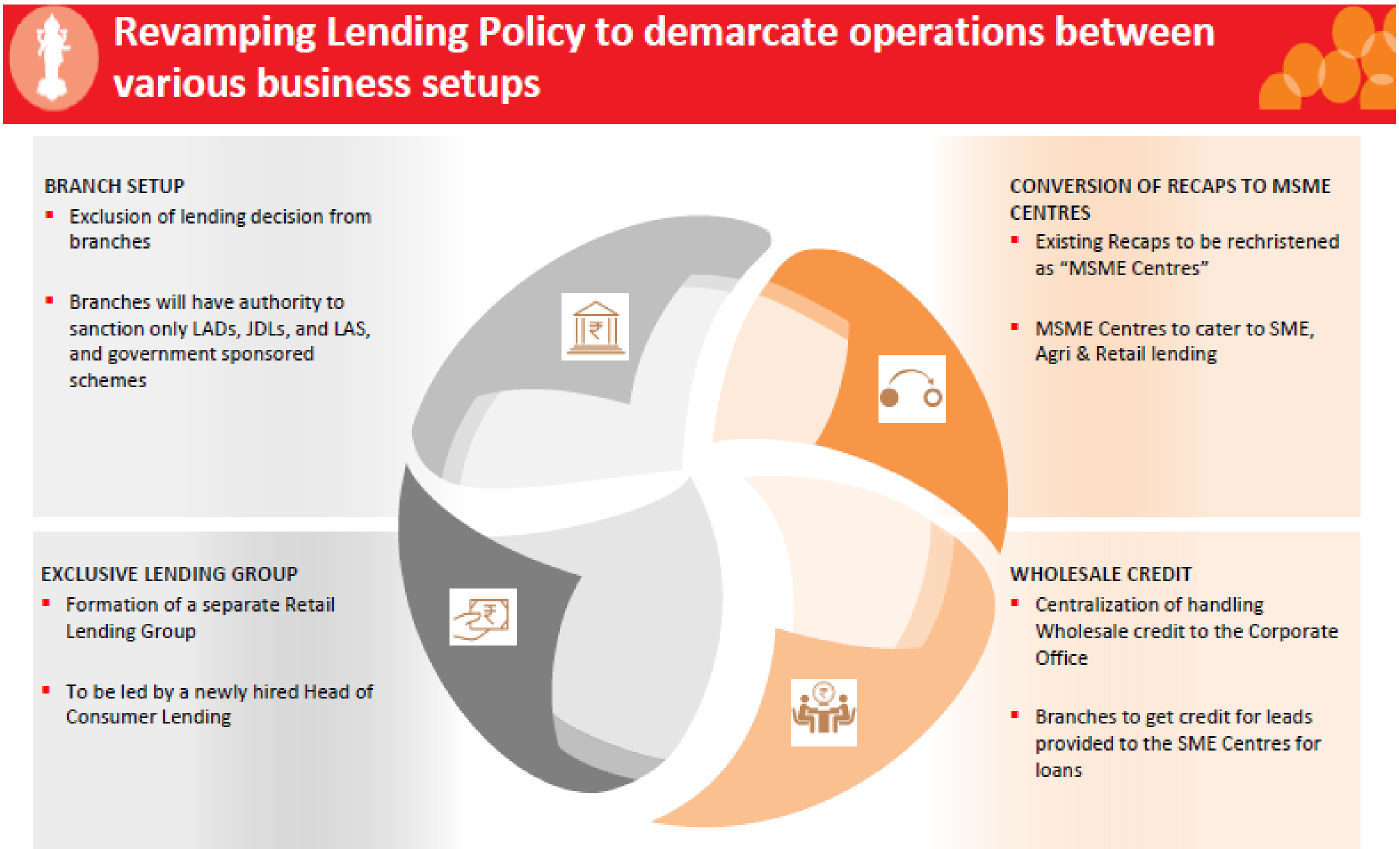
What has changed that gives us the confidence?

In last 9 months, bank is benchmarking it credit underwriting and risk management practices to new generation private bank standards with better combination of experienced team and latest technology solutions.

Bank has gone for Scientific Risk Analytics tools such as "Oracle Financial Services Analytical Application" – used for 360-degree evaluation of clients. This tool gives the bank Risk-Adjusted Analytical output in each proposal that can enable better decision making, rather than depending upon the gut feel/relationship based approach to loan approvals commonly observed in Old Generation or PSU culture. Management also expects the turnaround time to reduce.

Further, the organisation structure has been modified in terms of veto powers of Chief Risk Officer – who can deny loans based on the risk evaluation, even it may be approved by the Senior Management. The chief risk officer has been hired from a leading private bank. We like bank for its growth with conservative risk management practices in an area where banks aggressively looking to lend in retail and SME sector.

Centralised decision systems are implemented and for SME and Retail Hub-spoke model introduced with Relationship Managers reporting at branch levels. This helps the RMs (on field resources) to focus on asset side whereas the branch resources can focus on CASA building/fee income business.



Source: Company, Dalal & Broacha Research

Management guided at 20% CAGR loan growth in FY17-20E. Q3FY17 loan growth was impacted due to demonetization, falling down to 8% YoY. We have conservatively, assumed loan growth of 8% for FY17 and 15% and 18% for FY18E and FY19E, respectively.

We believe demonetization event has had temporary impact of 2 quarters (Q3FY17/Q4FY17) and loan growth momentum to improve much sharply in FY18, as we see the effect of management's strategy changes on Retail and SME business, on a relatively lower base of the bank. Within retail, growth would be driven by mortgage/LAP, then gradually it would expand its

Vehicle portfolio and Personal loan, credit cards & other unsecured products. Bank would cautiously focus on its strengths ie. southern states and preference towards relatively less risky working capital lending, as far as SME is concerned.

ROE Drivers: We expect the bank to reach ROE of 14.6% by FY19 driven by:

a) NII Growth of 16% CAGR over FY17-19E, driven by Credit-Deposit ratio expansion to 76% from 71% currently coupled with better loan mix to higher yielding Retail and SME.

b) Improvement in CASA ratio from 17.4% in FY16 to 21% by FY19E, and lower cost of funds

c) We estimate provisions/avg assets to decline from 0.66% in FY16 to 0.53% in FY19E as asset growth exceeds industry.

d) Non-interest income/avg assets stood at 1.60%, has already shown improvement in 9MFY17 compared to 10-year avg of 1.18% and a peak of 1.44%.

Lending only to Highly Rated Corporates

For lending towards large corporate, the bank will remain conservative and would avoid sectors which are prone to higher default risk and limit incremental lending to highly rated corporates. It further plans to become multiple banking partner for high quality entities and building a good quality corporate book. Further, focus would be towards working capital financing and reduce term loan share in total corporate financing. As on FY16, 62% of the loan book of the bank is for working capital loans.

Industry-wise Total Advances Distribution [FY16]

S. No	Industry wise % outstanding (March -2016)	Fund Based %
1	Infrastructure	7.16
	-of which a) Transport	1.83
	b) Energy	2.97
	c) Others	2.36
2	Textiles	4.82
3	Basic Metal and Metal Products	4.56
4	Food Processing	1.27
5	Chemicals and Chemical Products (Dyes, Paints, etc.)	1.33
6	Mining & Quarrying	1.01
7	Engineering	0.93
8	Beverages (Excluding Tea, Coffee & Tobacco)	1.05
9	Papers & Paper Products	0.54
10	Gems and Jwellery	0.57
11	Wood & Wood Products	0.81
12	Other Industries	3.26
13	Agriculture	15.49
14	Services	35.05
	- of which a) Trade	16.79
	b) Commercial Real Estate	6.35
	c) NBFCs	5.10
	d) Others	6.82
15	Housing loans	2.02
16	Education Loans	0.56
17	Deposit loans	8.66
18	Other advances	10.91
	Total	**100.00**

Source: Company, Dalal & Broacha Research

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Asset Quality – Factoring in the worst case scenario

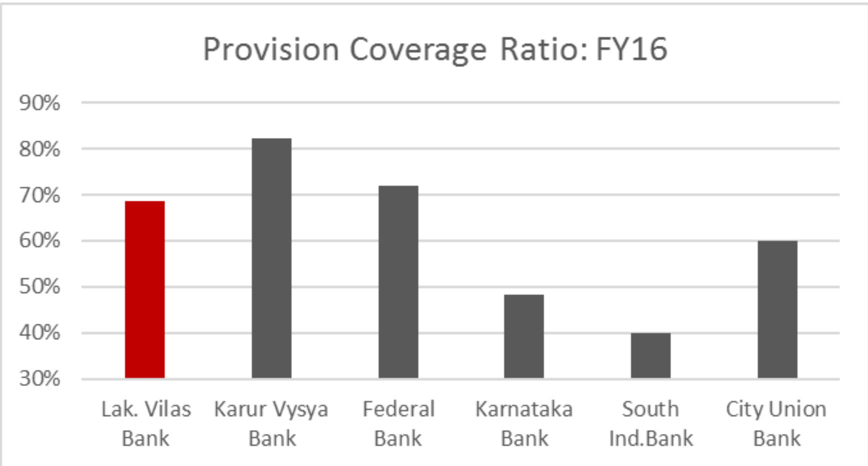
While entire banking sector faced asset quality pressure in during last 2 years on account of corporate exposures, Lakshmi Vilas Bank despite of its 45% exposure to Corporate lending has been able to show reduction in NPAs.

% Gross NPA	FY13	FY14	FY15	FY16
Lak. Vilas Bank	3.87	4.19	2.75	1.97
Karur Vysya Bank	0.96	0.82	1.85	1.30
Federal Bank	3.44	2.46	2.04	2.84
Karnataka Bank	2.51	2.92	2.95	3.44
South Ind.Bank	1.36	1.19	1.71	3.77
City Union Bank	1.13	1.81	1.86	2.41

Source: Company, Dalal & Broacha Research

% Gross NPA	FY13	FY14	FY15	FY16
Lak. Vilas Bank	2.43	3.44	1.85	1.18
Karur Vysya Bank	0.37	0.41	0.78	0.55
Federal Bank	0.98	0.74	0.73	1.64
Karnataka Bank	1.51	1.91	1.98	2.35
South Ind.Bank	0.78	0.78	0.96	2.89
City Union Bank	0.63	1.23	1.3	1.53

Source: Company, Dalal & Broacha Research



Source: Company, Dalal & Broacha Research

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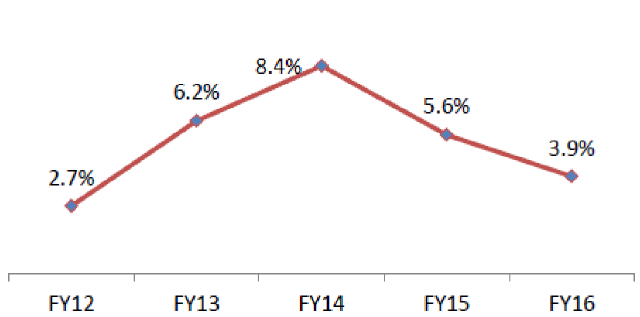
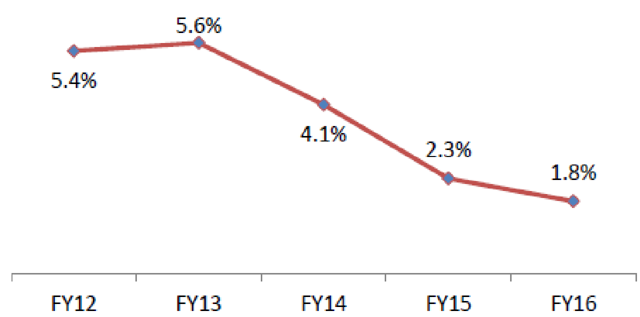
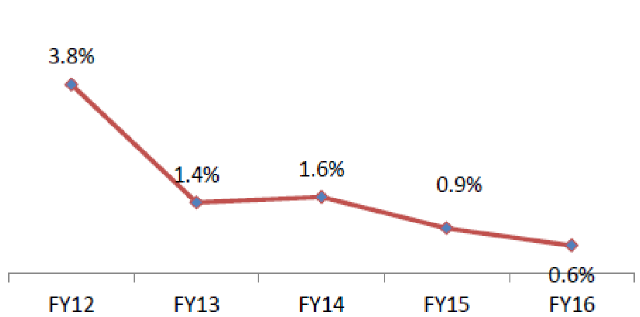
Wholesale Advances GNPA (%)



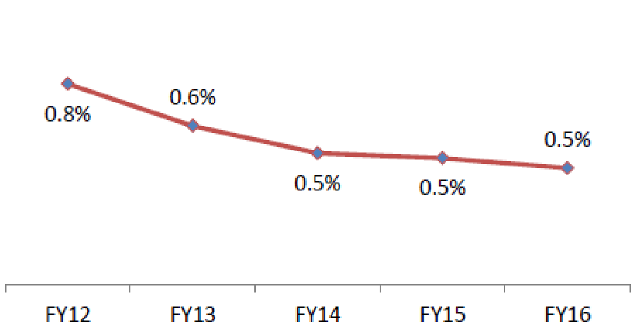
SME Advances GNPA (%)



Retail Advances GNPA (%)



Agricultural Advances GNPA (%)



Source: Company, Dalal & Broacha Research

During Q3FY17, GNPA ratio increased by 8bps QoQ to 2.78% on account of lower base of advances. NNPA improved by 5bps QoQ to 1.82%. Fresh slippages in 3QFY17 moderated at Rs 87.7cr vs. Rs 173cr in 2QFY17 with cash recoveries and upgradations for the quarter at Rs 85.2cr. Of the toal slippage, one shipping account contributed Rs45cr while others were small size accounts. The provision coverage ratio of the bank stood at 62%. Bank intends to increase the coverage ratio of 70% over FY17-19 period. During Q3FY17, bank utilized RBI dispensation only for Rs 10cr worth accounts. Thus, even without RBI discpensation going forward, the bank is expected to have stable asset quality as far as demonetization related impact is concerned.

As per Basel III disclosure dated Sept 30, 2016			
Major Industry Breakup of NPA (Rs cr)	**Gross NPA**	**%tage of Total Gross NPA**	**Provision Amt**
Food Processing	113	21%	67
Wood and Wood Products	75	14%	19
Basic Metal and Metal Products	57	11%	5
Mining and Quarrying	45	8%	7
Chemicals and Chemical Products	28	5%	4
Subtotal	319	58%	102
Total Gross NPA	546		

Source: Company, Dalal & Broacha Research

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The restructured loans of the bank stood at Rs 753cr (3.5% of the loan book), but on the positive side, 83% of the restructured book is already out of the moratorium and has been servicing the interest regularly. SDR outstanding is Rs 58cr and 5:25 (2 acounts) is Rs 118cr. FY06-16-average slippage ratio stood at 2.8%, while we have assumed slippages ratio of 2.2% for FY18 and 2.0% for FY19. Recovery and upgrades ratio stood at 2.7% during this period, while we have assumed it at 2.1% for FY18 and 2.5% for FY19. Thus, we expect absolute Gross NPAs to decline in FY19. We have following scenario analysis on Asset Quality, going forward.

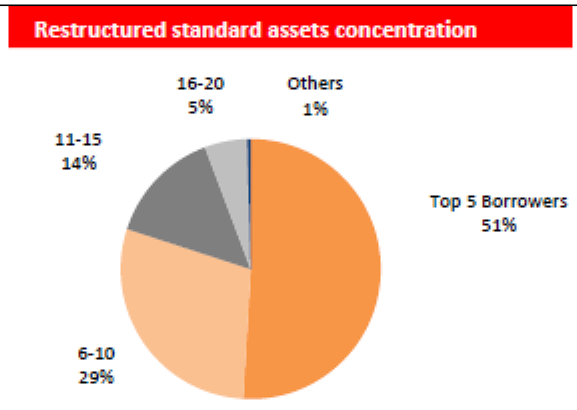
Scenario Analysis (We assume 50% of the restructured book is converted into GNPA over FY18-19E, despite the fact that 83% is already out of the moratorium)

	FY16	9MFY17	FY17E	FY18E	FY19E
Opening Gross NPAs	455	391	391	592	614
Additions	197	324	426	471	492
Slippage From Restructured			226	231	146
Normal Business Slippages (@1%-1.2%)			200	240	346
Less:- Deductions	260	166	225	449	619
Closing balance	391	549	592	614	487
Total Restructured Assets (Rs cr)	**753**		**Scenario**		
			Bullish	**Moderate**	**Worst**
% Slippage from Restructured Assumption			25%	40%	50%
Slippage from Restructured Book (Amt)	FY17-19E		188	301	377

Source: Company, Dalal & Broacha Research

Sector-Wise Restructured Assets [FY16]

S. No	Name of the Industry	% outstanding
1	Iron and Steel	24.47%
2	Infrastructure	15.48%
3	Metals & Minerals	8.79%
4	Engineering & Contractor	6.83%
5	Food processing	4.88%
6	Road project	4.05%
7	Aluminium	3.93%
8	Communication	3.84%
9	Shipyard	3.77%
10	Gems & Gold	3.66%
11	Education	2.99%
12	Pharma	2.94%
13	Glass	2.14%
14	Textiles	1.67%
15	Others	10.57%
	Total	**100%**



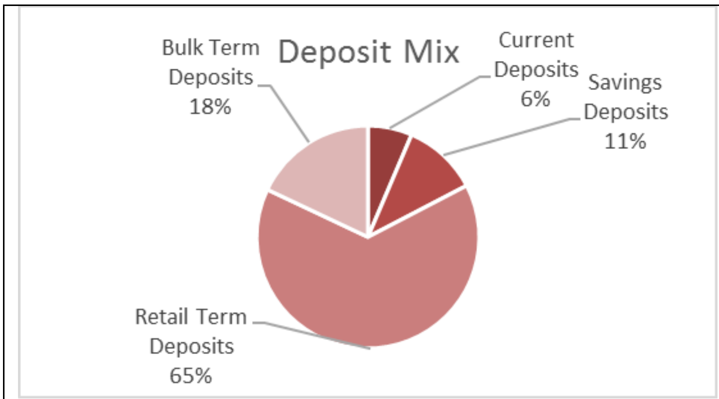
Source: Company, Dalal & Broacha Research

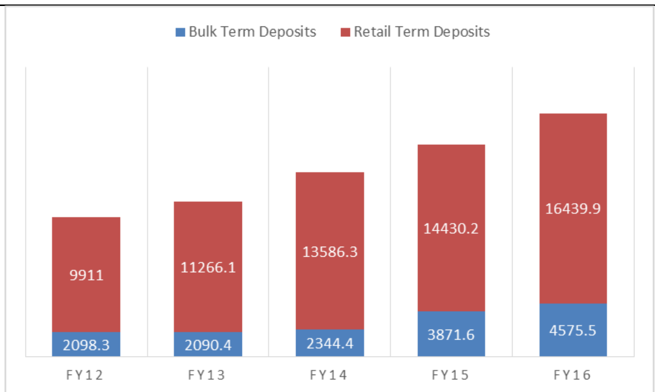
Branch Operations undergoing Transformation to reflect in better CASA

Bank has a branch network of 460, out of which 260 (56% of total) are concentrated in Tamilnadu. Going forward, bank would focus on South India for expansion, due to its's strong brand recall. 40 new branches will be added during current financial year. Post demonetization, bank is re-evaluating FY18 branch expansion plans.

Bank has a relatively low CASA ratio of 17%, which management aims to improve gradually towards 25% by FY20. In this direction, following calibrated measures are currently implemented inside the bank:

- Bank has created separate verticals for Current Account Deposits and Savings Account Deposits with respective heads looking after daily reported CASA balance. In the past, CASA was important only near the quarter end whereas now branch manager's performance is evaluated on average daily balance basis.
- Bank has aggressively approached Charitable trusts / Associations / local government bodies in the state to garner Current Account floats – which will yield results soon.





Source: Company, Dalal & Broacha Research

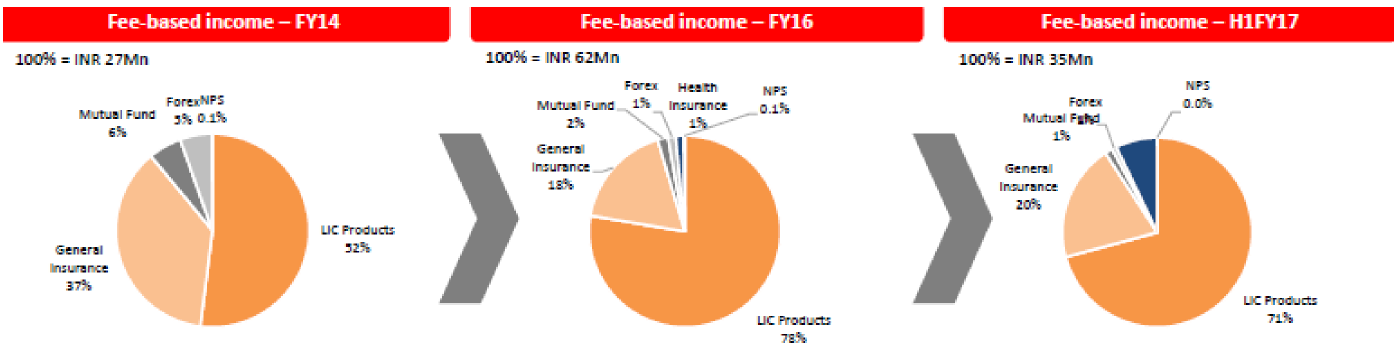
Non-interest Income / Assets ratio to improve significantly

Bank has strong relationship based client base of 2.8mn accounts built over 90-years of existence – however, due to absence of sales-driven approach of the branch staff, the fee income for the bank did not reflect the same. Now, the bank's approach has been changed under the new leadership from relationship based to sales based approach with targets being defined in terms of products per account.

N S Venkatesh who was earlier with IDBI Bank, as the Executive Director and CFO has joined the bank in July 2016. He is also a member of Technical Advisory Committee of RBI on Money Market, Securities Market & Foreign Exchange. He is also the Chairman of Fixed Income, Money Markets & Derivatives Association.

We expect treasury performance of the bank show significant improvement based on our interaction with the management due to following reasons:

1. Earlier the bank had 4 seater treasury department where operations were conducted just to meet the regulatory compliance, now, the bank will be looking at treasury as a ROA contributor.
2. Treasury team will be ramped up to 25 seater in 1 year and 60 seater over next 3 years with introduction of newer products / services such as - FX trading, Corp Debt participation, Equity Investment management and Derivatives



Product	Product Partners
Insurance	Life insurance companies, General insurance companies, Health insurance companies
Mutual Funds and portfolio management services	Sundaram asset management, UTI, Reliance asset management and such other affiliations
Credit Cards	SBI Cards and Payment Services Private Limited
Money transfer	Weizmann Forex
Forex travel cards	

Source: Company, Dalal & Broacha Research

Summary of Key Persons Joined:

- Mr. Parthasarathi Mukherjee, with over 33 years of experience in the banking industry, having extensive knowledge in the areas of International Trade &Finance, Integrated Treasury and Corporate Banking had taken charge as MD & CEO from 25-Jan-2016. He was earlier with SBI for 12 years, the largest Public Sector Bank and then for 21 years with Axis Bank.
- NS Venkatesh has joined as executive director, LVB, from IDBI Bank, where he was CFO.
- RVS Sridhar is now the chief risk officer, who served Axis Bank earlier.
- Govind Ravindran has assumed the role of head consumer lending after serving HDFC for about 15 years in business development.
- Madhusudhana Rao, with his experience in the State Bank of India is serving LVB as the chief customer service.
- Peeush Jain, who was earlier with Royal Bank of Scotland, has joined as the head of business partnership and transformation.
- S Venkatesh, formerly with RBL Bank, is heading the credit and wholesale banking at Lakshmi Vilas Bank.
- B Nedumaran, who was with Ma Foi HR consultancy, is looking after human resources.

Peer Comparison

Highest Advances CAGR among Old Generation Banks

Advances (Rs cr)	FY13	FY14	FY15	FY16	CAGR
Lak. Vilas Bank	**11,703**	**12,889**	**16,352**	**19,644**	**19%**
Karur Vysya Bank	29,480	33,992	36,109	39,084	10%
Federal Bank	44,097	43,436	51,285	58,090	10%
Karnataka Bank	25,208	28,345	31,680	33,902	10%
South Ind.Bank	31,816	36,230	37,392	41,086	9%
City Union Bank	15,246	16,097	17,966	21,057	11%

Source: Company, Dalal & Broacha Research

Net Interest Income (Rs cr)	FY13	FY14	FY15	FY16	CAGR
Lak. Vilas Bank	**392**	**486**	**527**	**645**	**28.3%**
Karur Vysya Bank	1,158	1,284	1,466	1,781	24.0%
Federal Bank	1,975	2,229	2,380	2,504	12.6%
Karnataka Bank	904	1,056	1,169	1,303	20.1%
South Ind.Bank	1,281	1,399	1,366	1,510	8.6%
City Union Bank	624	759	807	981	25.4%

Source: Company, Dalal & Broacha Research

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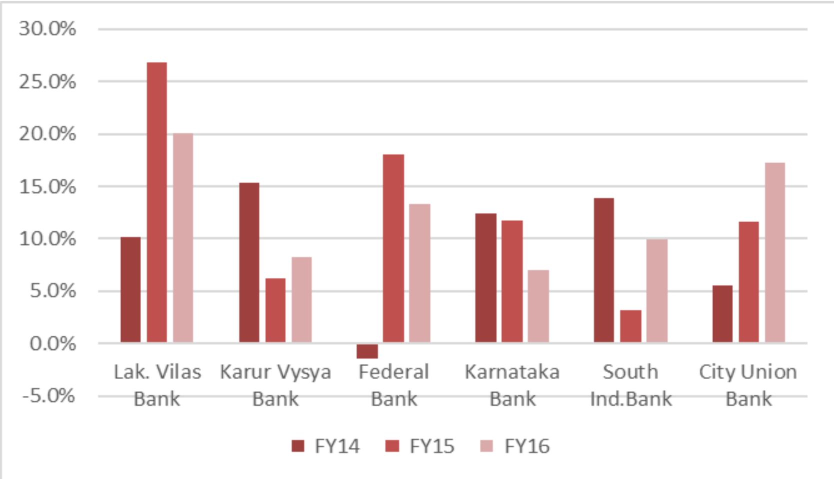
Advances Growth – Trend Peer Comparison



Source: Company, Dalal & Broacha Research

	CMP (Rs)	No of Shares (Cr)	MCAP (Rs Cr)	Loan Book (Rs cr) FY16	No of Branches FY16	% NII Growth FY17-19	% PAT Growth FY17-19	% ROA FY17-19	% ROE FY17-19	% GNPA Q3FY17	% NNPA Q3FY17	% Restr.Assets Q3FY17	% Coverage Q3FY17	% CAR Q3FY17	ABV FY18E	ABV FY19E	P/ABV FY18E	P/ABV FY19E	MCAP/Branch (Rs cr)
City Union Bank	145	59.8	8,674	21,057	525	14.5%	17.1%	1.50	15.44	3.0	1.7	0.9	62.0	14.9	59.8	72.7	2.4	2.0	16.5
DCB Bank	165	28.5	4,698	12,921	205	25.6%	24.6%	0.86	11.07	1.6	0.7	0.2	75.6	13.3	72.6	80.6	2.3	2.0	22.9
Lak. Vilas Bank	166	17.9	2,979	19,644	460	16.4%	20.0%	0.87	13.67	2.8	1.8	3.5	62.0	10.2	100.8	120.1	1.6	1.4	6.5
Karur Vysya Bank	110	60.9	6,703	39,084	670	13.7%	36.4%	1.04	14.29	2.7	1.7	3.3	67.1	11.8	77.5	91.1	1.4	1.2	10.0

Source: Company, Dalal & Broacha Research
DCB Bank – We have used consensus estimates.

Valuation & Outlook

Lakshmi Vilas Bank (LVB) is expected to post NII and net profit CAGR of 15+% and 20% during FY17-19, respectively. We continue to remain conservative with absolute level of provision cost broadly at same level while higher advances growth, reflecting in lower provision / Avg Assets contributing to ROA improvement. While we expect opex leverage to be ROA driver post FY19. Bank is expected to post an ROA and ROE of 0.9% (from 0.7% in FY16) and 14.7% (from 10.8% in FY16), respectively, by FY19E.

Though Karur Vysya Bank (KVB) has better RoE and lower valuation multiple, being a traditionally-managed bank we expect it to remain at a discount to peers due to lower growth. Hence, we compare LVB with City Union Bank (CUB) and DCB Bank (DCB). CUB has ROE of 15.5% and trades at a P/ABV multiple of 2.0x on FY19E ABV. DCB has ROE of 11.1% and trades at P/ABV multiple of 2.0x on FY19E ABV. LVB trades 1.4x, at 30% discount to CUB and DCB. We believe with improvement in ROEs to 13.7% (FY17-19 Avg), we expect the valuation multiple to expand and move closer to 2.0x. Hence, we value Lakshmi Vilas Bank at 1.75x FY19E ABV of Rs 120 to arrive at target price of Rs 210. **Recommend BUY.**

Post recent QIP at Rs 138, bank raised Rs 169cr (7.2% dilution), CAR has improved to 11.0%+ for FY17, which is sufficient for the bank to grow in FY18.

With a strong regional presence in southern India with 2.8mn customer base, bank is an attractive takeover target for a player vying to spread its reach in South. We believe, Bank would command a premium to current MCap/branch valuation (Rs 6.3cr), driven by strong regional brand identity and improving trend in profitability.

Key Risks

Higher than expected pressure in asset quality and delay in loan growth recovery for the industry.
Change in the management team of the bank.

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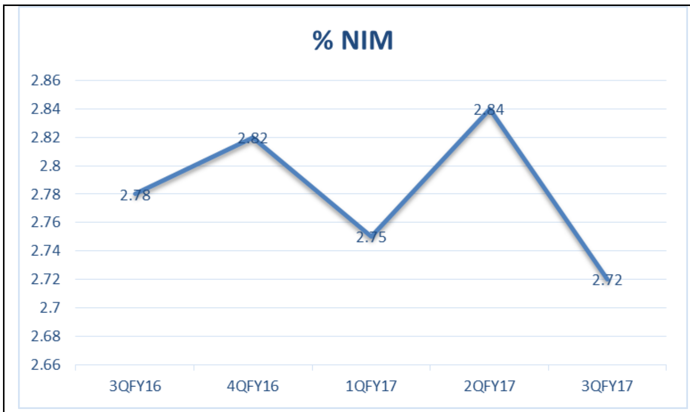

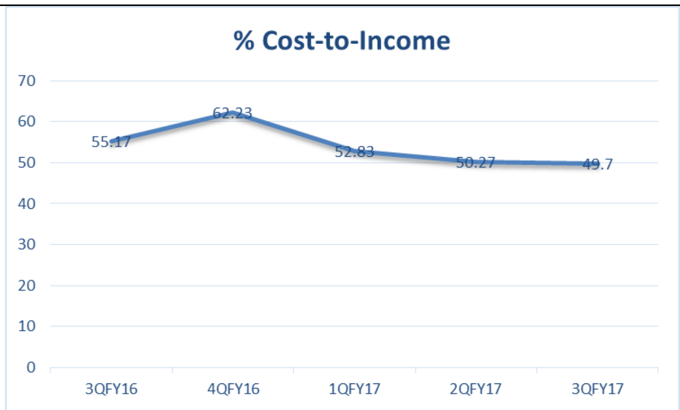

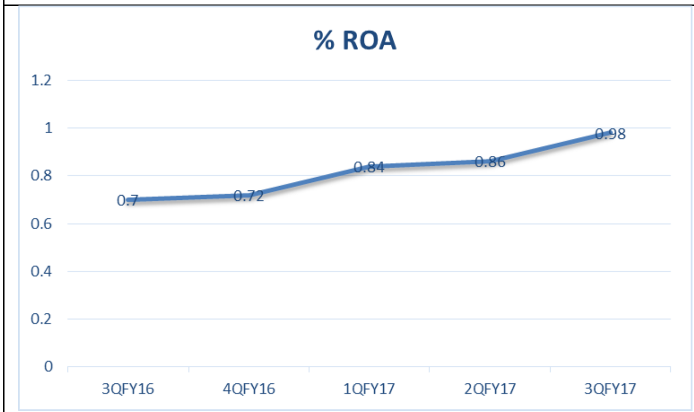

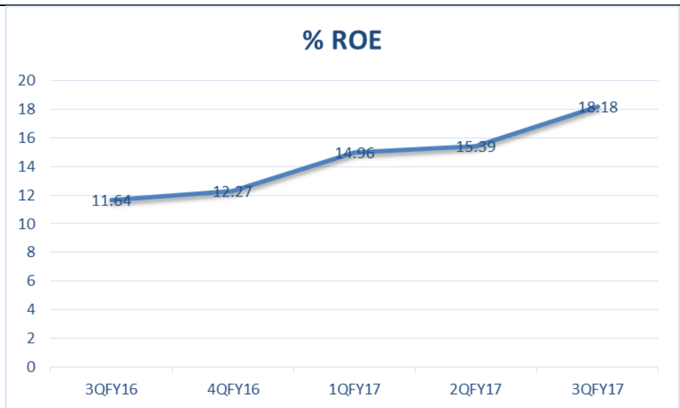

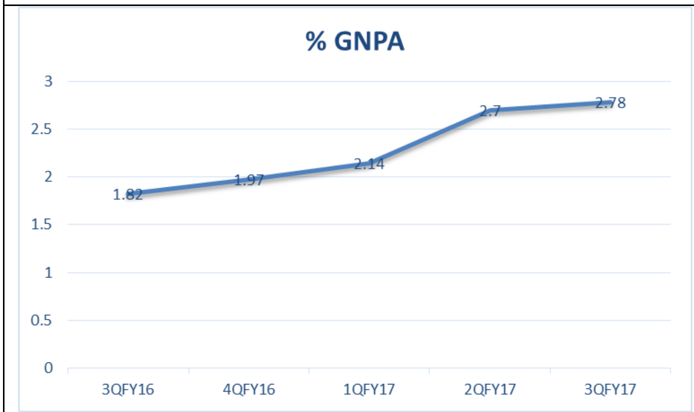

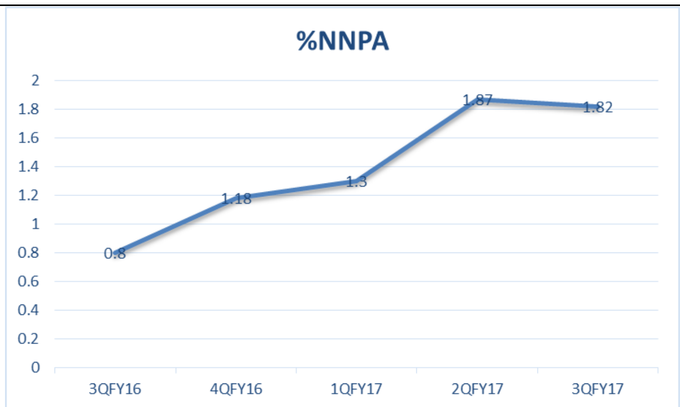

Lakshmi Vilas Bank

PROFIT & LOSS A/C (Rs Cr)	FY2015	FY2016	FY2017E	FY2018E	FY2019E
Interest Income	2,215	2,568	2,821	3,121	3,569
Interest Expense	1,688	1,923	2,064	2,234	2,543
Net Interest Income	**527**	**645**	**757**	**887**	**1,026**
Growth (%)	*8.4%*	*22.5%*	*17.3%*	*17.1%*	*15.7%*
Other income	284	305	456	473	543
Operating Income	811	950	1,213	1,360	1,569
Operating Expenses	442	543	637	717	814
Pre Provisions Profit	368	407	576	643	755
PPPM (%)	*45.4%*	*42.9%*	*47.5%*	*47.3%*	*48.1%*
Prov. & Contingencies	180	177	198	198	211
PBT	188	230	377	445	543
Tax	56	50	125	147	179
PAT	**132**	**180**	**253**	**298**	**364**

BALANCE SHEET (Rs cr)	FY2015	FY2016	FY2017E	FY2018E	FY2019E
Sources of Funds					
Equity	179	179	192	192	192
Reserves	1,377	1,584	1,923	2,152	2,447
Net Worth	1,556	1,764	2,116	2,345	2,639
Deposits	21,964	25,431	28,612	32,571	37,424
Borrowings	458	723	636	1,220	2,015
Other Liabilities & Prov.	727	815	962	664	204
Total Liabilities	**24,705**	**28,732**	**32,326**	**36,799**	**42,282**
Application of Funds					
Cash & Balances with RBI	1,143	1,287	1,144	1,303	1,497
Bal with banks,Call money etc.	175	82	1,495	1,417	1,057
Advances	16,352	19,644	21,215	24,398	28,789
Investments	6,051	6,545	7,191	8,220	9,257
Fixed Assets	243	367	422	485	558
Other Assets	740	807	858	977	1,123
Total Assets	**24,705**	**28,732**	**32,326**	**36,799**	**42,282**

Key Indicators	FY2015	FY2016	FY2017E	FY2018E	FY2019E
EPS (Rs)	7.4	10.0	13.1	15.5	18.9
Book Value (Rs)	86.9	98.3	109.9	121.8	137.1
Adj. Book Value (Rs)	70.8	85.6	89.6	100.8	120.1
P/E (x)	22.2	16.3	12.5	10.6	8.7
P/BV (x)	1.9	1.7	1.5	1.3	1.2
P/ABV (x)	2.3	1.9	1.8	1.6	1.4
Profitability (%)					
RoANW	10.1	10.9	13.0	13.4	14.6
RoAA	0.6	0.7	0.8	0.9	0.9
Cost / Income Ratio	54.6	57.1	52.5	52.7	51.9
Net Interest Margin	2.4	2.5	2.6	2.7	2.7
Growth (%)					
Net Interest Income	8.4	22.5	17.3	17.1	15.7
Credit	26.9	20.1	8.0	15.0	18.0
Deposit	18.3	15.8	12.5	13.8	14.9
C/D ratio	74.4	77.2	74.1	74.9	76.9
Invest. / Dep. Ratio	27.6	25.7	25.1	25.2	24.7
Asset Quality					
GNPAs (%)	2.8	2.0	2.8	2.5	1.7
NNPAs (%)	1.8	1.2	1.8	1.7	1.1
Capital Adequacy					
Tier-I	9.3	8.7	10.1	10.0	10.1
Tier-II	2.0	2.0	1.7	2.0	2.2
Total CAR (%)	11.3	10.7	11.8	12.0	12.2

RoE Analysis	FY2015	FY2016	FY2017E	FY2018E	FY2019E
Interest Income	9.76	9.61	9.24	9.03	9.03
Interest Expense	7.44	7.20	6.76	6.46	6.43
Net Interest Income	2.32	2.42	2.48	2.57	2.59
Other income	1.25	1.14	1.49	1.37	1.37
Operating Income	**3.57**	**3.55**	**3.97**	**3.93**	**3.97**
Operating Expenses	1.95	2.03	2.09	2.07	2.06
Pre Provisions Profit	1.62	1.52	1.89	1.86	1.91
Prov. & Contingencies	0.79	0.66	0.65	0.57	0.53
PBT	0.83	0.86	1.24	1.29	1.37
Tax	0.25	0.19	0.41	0.43	0.45
PAT (A)	0.58	0.67	0.83	0.86	0.92
Leverage (B)	17.38	16.10	15.74	15.50	15.87
Return on Equity (A*B)	10.14	10.86	13.03	13.38	14.60

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